STRATEGY WEST PLANNING - RETIREMENT & ESTATE PLANNING

Your *Self-Funded* **Pension Plan** *Guide*

HOW TO TURN RETIREMENT SAVINGS
INTO DEPENDABLE LIFETIME INCOME

- A COMPLETE GUIDE -

FOR ADULTS AGE 50 TO 65 APPROACHING RETIREMENT

EDUCATIONAL GUIDE

A STRATEGY WEST PLANNING GUIDE

Retirement is
not just about
saving enough.

It is about turning
what you have built
into income you can
depend on.

YOUR LEGACY STARTS WITH YOU.

- THE GUIDE -

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How to Use *This Guide*

This guide is designed for adults age 50 to 65 who are approaching retirement and want more clarity around dependable income. It is meant to help you think clearly about longevity, retirement risks, income planning, and whether a Self-Funded Pension Plan may fit into your overall strategy.

WHO THIS IS FOR

This guide is for adults age 50 to 65 who are nearing retirement and want more confidence in their future income plan.

WHAT YOU WILL LEARN

- identify your retirement income gap
- understand key annuity options
- build a stronger income foundation

KEY IDEA

The goal is not to predict every market move. The goal is to create dependable income, clarity, and confidence.

PART 01

Retirement Has Changed

For many people, retirement used to be thought of as the final stretch after a long career. You worked, you saved, you retired, and then you lived off your pension, Social Security, and whatever else you had accumulated.

That version of retirement does not fully match the world we live in today. People are living longer. Retirements are lasting longer. Traditional pensions are less common. Healthcare costs are higher. Markets feel less predictable. And many people are being asked to create their own retirement paycheck.

It is one thing to build a nest egg. It is another thing to turn that nest egg into income you can depend on for the rest of your life.

Today, retirement may last thirty years or more. That is not a short vacation after work. That is a major chapter of life. For some people, it may be the longest financial phase they ever plan for.

THE DATA OF LONGEVITY: 1950 VS. NOW

	1950	Now
Life Expectancy at Retirement	80.9	85.5
Median Retirement Age	67	62
Percentage of Lifetime Spent in Retirement	17%	27%

TOP RETIREMENT CONCERNS TODAY

- Not having enough money in retirement: 64%
- Medical costs in the event of a serious illness or accident: 60%
- Inability to maintain a current standard of living: 51%

> *Most people are not afraid of retirement itself. They are afraid of getting retirement wrong.*

PART 02

The Real Question: Will Your Income Last?

Most people spend their working years focused on one main goal: build the largest nest egg possible. During your career, accumulation matters. You are saving, investing, contributing to retirement accounts, paying down debt, and trying to build financial momentum.

But as you get closer to retirement, the question changes. It is no longer just, 'How much have I saved?' The better question becomes: 'How much dependable income can my savings create?'

Retirement is not funded by account balances alone. Retirement is funded by income. You do not pay your mortgage with a portfolio value. You pay it with cash flow. You do not cover groceries, medical bills, travel, or family expenses with a pie chart. You cover them with income you can access when you need it.

Many retirees fall into what we call the frugality trap. They did a good job saving, but when retirement arrives, they struggle to enjoy the money because every withdrawal feels like a step closer to running out.

A better retirement strategy balances two goals: protect enough income to cover the life you need, and keep enough flexibility and growth potential to fund the life you want. Once the floor is in place, the rest of the plan can breathe.

PART 03

Start With the Life You Want

Before we talk about annuities, income riders, withdrawal rates, taxes, or investment buckets, we need to begin with a more human question: what are you actually trying to retire into? Money is not the goal. Money is the tool. The goal is the life the money is supposed to support.

A better planning process starts by defining the life you want your money to fund. Think through place, work, people, and purpose. Where do you want to live? Do you want to fully stop working, or keep doing something meaningful? Who do you want around you? What do you want this next chapter to mean?

THE FOUR PILLARS OF RETIREMENT VISION

- Place: Where do you want to live?
- Work: Do you want to stop working completely, or keep doing something meaningful?
- People: Who do you want around you, and what support system will you need?
- Purpose: What kind of life and legacy do you want to build?

Once the vision is clear, the numbers become more useful. A strong retirement income plan separates expenses into two categories: needs and wants. Needs are the non-negotiables: housing, food, utilities, transportation, insurance, medical costs, taxes, and basic lifestyle expenses. Wants are the flexible goals: travel, hobbies, gifts, dining out, home upgrades, charitable giving, and lifestyle enhancements.

Essential expenses should be supported by dependable income whenever possible. Flexible expenses can often be supported by investments, savings, and other assets that may fluctuate over time. Cover the needs. Plan for the wants. Protect against the risks.

PART 04

The Forces Working Against Your Plan

Even a well-built retirement plan has to deal with forces outside your control. Markets move. Prices rise. Tax laws change. Healthcare needs appear. Life happens. A good strategy does not pretend these forces do not exist. It plans around them.

Inflation is easy to underestimate because it does not usually feel dramatic day by day. It shows up quietly over time. A grocery bill gets a little higher. Gas costs more. Insurance premiums creep up. Individually, each increase may feel manageable. Collectively, they can seriously weaken purchasing power.

INFLATION EXAMPLES

- Gasoline, 1 gallon: $1.16 to $4.50
- Corn Flakes, 18 oz: $1.99 to $4.98
- Postage Stamp: $0.25 to $0.78
- Ford Mustang: $6,572 in 1985 to $34,635 in 2026
- College Tuition, U of M out-of-state: $8,979 to $68,444

Many people focus on how much they have saved, but what matters most is how much they can actually use. That is where taxes come in. Different assets receive different tax treatment. A strong retirement strategy usually includes some level of tax diversification.

TAX DIVERSIFICATION

Type	Description	Examples
Taxable	Taxes paid on dividends or gains as it grows.	Brokerage, checking, real estate.
Tax-Deferred	Tax on earnings is paid at withdrawal.	401(k), 403(b), Traditional IRA.
Tax-Free	Principal and earnings may grow or withdraw tax-free if rules are met.	Roth IRA, Roth 401(k), municipal bonds.

The real rate of return is what remains after taxes and inflation have taken their share. In 2018, a standard CD rate minus taxes and inflation resulted in a -2.74% real return.

Healthcare costs can be one of the biggest retirement wild cards. A serious illness, accident, or long-term care need can change the entire financial picture. Long-term care is especially important because traditional health insurance and HMOs generally do not cover long-term custodial care in the way many people assume.

Market volatility also feels different when you are retired. During your working years, a downturn may be frustrating, but you may still have income from work, time to recover, and the ability to keep contributing. In retirement, a downturn can be more painful because you may be withdrawing from the same assets that are losing value.

PART 05

Finding Your Retirement Gap

At some point, retirement planning needs to become practical. That means answering a simple question: how much income do you need, and how much of that income is already covered? This is where we identify the retirement gap.

Start by estimating your monthly retirement expenses. Then identify the income sources you can reasonably depend on, such as Social Security, pensions, certain annuity payments, rental income if dependable, or other reliable income sources.

For example, assume your monthly need is $5,000. That equals $60,000 annually. Next, assume you have $2,500 monthly from Social Security and pensions. That equals $30,000 annually. Your monthly gap is $2,500, and your annual gap is $30,000.

THE RULE OF 25

Annual Income Need x 25 = Necessary Nest Egg

A useful benchmark for estimating the size of a retirement fund is the Rule of 25: Annual Income Need x 25 = Necessary Nest Egg. Using the example above, $30,000 x 25 = $750,000. If you currently have $500,000, your additional assets needed would be $250,000.

RULE OF 25 EXAMPLE

- Monthly Need: $5,000
- Annual Need: $60,000
- Dependable Income: $2,500 monthly / $30,000 annually
- The Gap: $2,500 monthly / $30,000 annually
- Target Nest Egg: $30,000 x 25 = $750,000
- Current Assets: $500,000
- Additional Assets Needed: $250,000

The Rule of 25 is not perfect. No rule of thumb is. But it turns an overwhelming retirement question into something clearer. Once you know the gap, planning becomes much more focused.

PART 06

From Accumulation to Decumulation

There are two major phases of retirement planning. The first is accumulation. The second is decumulation. Accumulation is the building phase. You are saving, investing, and growing assets. Decumulation is the spending phase. You are turning assets into income.

The strategy that helps you build wealth is not always the same strategy that helps you spend it safely. For decades, many people train themselves to do one thing: do not touch the money. Then retirement arrives, and suddenly they are expected to reverse decades of behavior and start spending the money they worked so hard to build.

One of the biggest retirement risks is sequence of returns risk. This is the risk of experiencing poor market returns early in retirement while you are taking withdrawals. If the market declines early and you are forced to sell investments to create income, you may have to liquidate more shares at lower prices.

SEQUENCE OF RETURNS RISK

In a $500,000 portfolio, negative returns in the first three years can leave you with $193,445 after a decade, compared to $451,404 if those same negative returns occurred at the end.

Another key risk is withdrawal rate risk. A 4% withdrawal rate has a 90% probability of success over 30 years. But increasing the withdrawal rate to 6.5% or 10% can drastically reduce the likelihood of portfolio survival.

One way to think about retirement assets is the bucket approach: Now Money for 0 to 2 years, Later Money for 3 to 10 years, and Much Later Money for 11+ years.

BUCKET APPROACH

- Now Money: 0 to 2 years
- Later Money: 3 to 10 years
- Much Later Money: 11+ years

PART 07

The Case for Protected Income

Protected income is income designed to continue regardless of market conditions and, depending on the structure, regardless of how long you live. It does not mean every dollar should be guaranteed. It does not mean markets are bad. It simply means some retirement expenses are too important to leave entirely exposed to market timing and withdrawal pressure.

A strong retirement plan often uses a middle road approach: use dependable income sources to help cover needs, and use traditional investments and other assets to help fund wants. The purpose is not to choose one tool and ignore the rest. The purpose is to give each dollar a job.

One of the most valuable benefits of protected income is psychological. When retirees know that certain income will arrive consistently, they may feel more comfortable using their other assets. This is sometimes called a license to spend.

> *The goal is not to lock up every dollar. The goal is to create a strong retirement floor.*

One of the most misunderstood features of annuitized income is the concept of mortality credits. When a group of retirees pools longevity risk through an insurance company, the company does not need to know exactly how long any one person will live. It only needs to manage the average lifespan of the larger group.

Because of that pooling effect, the assets of those who pass away earlier than expected can help support payments for those who live longer. This is not a stock market return. It is an actuarial return. For retirees worried about living too long, that pooling can be extremely valuable.

PART 08

What Is a Self-Funded Pension Plan?

A Self-Funded Pension Plan is a strategy designed to help create pension-like income using your own retirement assets. In simple terms, it is a way to take a portion of your savings and structure it so that it can generate dependable income for retirement. For many people, this is done through annuities.

Most people understand what a pension is. It is a paycheck in retirement. It is income you can count on. It provides structure. But fewer people have traditional pensions today. So the question becomes: can you build something that acts like a pension, even if your employer does not provide one? For some people, the answer may be yes.

If you are between 50 and 65, retirement is no longer a far-off idea. You may be asking: when can I retire, how much income will I need every month, what happens if the market drops right after I retire, how do I protect my spouse, how much can I safely spend, and what if I live into my 90s?

HOW IT WORKS AT A HIGH LEVEL

- Identify the income gap.
- Select an annuity strategy that fits the plan.
- Create a dependable income stream.
- Coordinate it with the rest of the retirement plan.

The basic idea is this: you use a portion of your retirement assets to purchase an annuity or annuity-based strategy designed to create income. Depending on the type of annuity and the features selected, that income may begin immediately or later in the future.

A Self-Funded Pension Plan is not magic. It is not a shortcut. It is not the right fit for everyone. It is not a reason to put all of your money into one product. The product is not the plan. The plan comes first. The product only belongs if it supports the plan.

PART 09

The Different Types of Annuities

Annuities are not all the same. This is one of the biggest reasons people get confused. Someone hears one negative story about one type of annuity and assumes all annuities are bad. Someone else hears one positive story and assumes every annuity is a perfect solution. Neither view is accurate. Annuities are tools. Different tools are built for different jobs.

An income or immediate annuity is designed to create income right away, usually within one year. You provide a lump sum to the insurance company, and in return, you receive pension-like checks. The main benefit is predictable income.

A fixed annuity provides a guaranteed interest rate over a set period, often 3 to 10 years. This can act as an alternative to CDs or certain bond strategies for people who want principal safety and predictable growth.

An index annuity provides interest based in part on the performance of a market index, such as the S&P 500, while protecting principal from market downturns. It is important to understand that an index annuity is not a direct investment in the stock market. Modern riders may allow for specific withdrawal percentages, such as 7.35% or even 8.25% for single owners aged 75 or older.

Variable annuities allow for market participation through investment subaccounts. This means they may offer higher growth potential, but the contract value can fluctuate with market performance. Some variable annuities include optional income benefit riders designed to provide lifetime withdrawal benefits.

A deferred income annuity is designed to create guaranteed income starting more than two years in the future. This can be useful for someone who wants to create income later, perhaps at age 70, 75, or beyond.

ANNUITY TYPES AT A GLANCE

Annuity Type	Core Benefit	Investment Analog
Income/Immediate	Securing predictable, immediate lifetime income	Pension
Fixed	Guaranteed growth at a fixed interest rate	CD
Index	Principal protection with index-linked growth potential	Asset protection plus growth
Variable	Tax-deferred growth with market participation	Fund investment
Deferred Income	Guaranteed income starting more than 2 years in the future	Personal pension or Social Security supplement

CARRIER QUALITY MATTERS

- A.M. Best rating of A+ or A++
- S&P rating of AA- or higher
- Financial strength and claims-paying history
- Fees, surrender charges, rider costs, liquidity provisions, tax treatment, and beneficiary options

PART 10

Who This Strategy May Be Right For

A Self-Funded Pension Plan is not right for everyone. For the right person, it can be a powerful retirement income tool. For the wrong person, it may create unnecessary complexity, reduced liquidity, or a mismatch between product and goal. The better question is: does this strategy solve a real problem in your retirement plan?

This guide is written primarily for people between 50 and 65 who are close to retirement. At this stage, the planning conversation becomes more specific. You may still need growth, but you also need to start thinking seriously about income, timing, taxes, healthcare, Social Security, and market risk.

It may be a fit if you do not have a traditional pension, if you are worried about outliving your money, if market volatility makes you nervous, or if you want more permission to spend. Many people approaching retirement today do not have the kind of employer pension that previous generations relied on.

IT MAY BE A FIT IF

- you are close to retirement
- you do not have a traditional pension
- you are worried about outliving your money
- market volatility makes you nervous
- you want more permission to spend

IT MAY NOT BE A FIT IF

- you need full liquidity at all times
- you do not understand the tradeoffs
- the product does not match the plan

A 65-year-old today has a 22% chance for males or 34% chance for females of living to age 90. That is good news from a life standpoint, but it creates a serious planning challenge. If you live longer than expected, will your income keep going?

It may not be a fit if you need full access to your money at all times, if you do not understand the tradeoffs, or if the product does not match the plan. No one should purchase an annuity they do not understand.

PART 11

Your Retirement Income Action Plan

A strong retirement plan does not happen by accident. It is built step by step. If you are between 50 and 65, now is the time to start turning broad retirement goals into a clear income strategy.

Step one is to determine your goals. Start with the life you want. Where do you want to live? How do you want to spend your time? Who do you want around you? What kind of legacy do you want to create?

Step two is to identify your expenses. Separate needs from wants. Your needs are the expenses that must be covered. Your wants are the expenses that improve your lifestyle but may be more flexible.

Step three is to secure dependable income. Identify your guaranteed or highly reliable income sources. This may include Social Security, pensions, annuities, or other dependable income streams.

Step four is to identify other income and assets. Review your investment accounts, retirement accounts, savings, real estate, business interests, and other assets. Each asset should have a job.

Step five is to plan for the unexpected. Retirement planning should account for the things you hope never happen: healthcare events, long-term care, market downturns, family needs, tax changes, early death of a spouse, or living much longer than expected.

KEY RETIREMENT MILESTONES

Age	Milestone
50	Eligible for catch-up contributions
59 1/2	Penalty-free withdrawals from qualified plans
62	Earliest Social Security eligibility at a reduced level
65	Medicare eligibility
70	Maximum Social Security benefit reached
73	Required Minimum Distributions must begin

Social Security is often one of the most important guaranteed income sources in retirement. Claiming at 62 provides $1,064 per month. Claiming at 67, Full Retirement Age, provides $1,543 per month. Claiming at 70 provides $1,924 per month. Waiting until age 70 provides an extra $860 monthly for life compared to claiming at 62.

Social Security can also be taxable depending on provisional income. For single filers, benefits may be taxed if income is between $25,000 and $34,000, up to 50%, or above $34,000, up to 85%. For joint filers, benefits may be taxed if income is between $32,000 and $44,000, up to 50%, or above $44,000, up to 85%. If you work before reaching full retirement age, benefits are reduced by $1 for every $2 earned over $17,640, based on 2019 limits.

Before meeting with an advisor, gather monthly expenses, current retirement account balances, Social Security estimates, pension information if applicable, life insurance policies, annuity contracts if any, investment statements, mortgage or debt information, healthcare and insurance costs, desired retirement age, spouse or partner income details, legacy goals, and major concerns about retirement.

Then ask yourself three questions: what income do I need every month, what income is already dependable, and what gap still needs to be solved? Those three questions can reveal a lot.

Your Retirement Income Strategy Starts Here

A Self-Funded Pension Plan is not about guessing your way through retirement. It is about creating structure, income, and confidence around the years you worked so hard to reach.

At Strategy West Planning, we help individuals and families think clearly about the retirement income decisions that matter most. If you are approaching retirement and wondering how to turn your savings into dependable income, a Self-Funded Pension Plan may be worth exploring.

Schedule a consultation with Strategy West Planning to review your situation, understand your income gap, and determine whether this strategy fits your retirement goals.

BRING THESE TO YOUR CONSULTATION

- Monthly expenses
- Retirement account balances
- Social Security estimates
- Pension or annuity information
- Major retirement concerns

Scan to schedule a consultation

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Strategy West Planning

CLARITY. STRUCTURE. LONG-TERM THINKING.

Your legacy starts with you.